Astera Labs (ALAB)

The Connectivity Ramp Is Real, and the Price Already Assumes More

ANALYST: JUSTIN WEN | OCTOBER 14, 2026

> Astera Labs is executing about as well as a young public company can, with revenue more than doubling in three of the last four reported quarters and the Scorpio X-Series fabric switch reaching production a full quarter early. The operating record, however, is not the argument. The argument is arithmetic. At the $286.72 reference price, the market capitalizes Astera at $49.7B against FY2025 revenue of $852.5M and FY2025 free cash flow of $281.8M, a starting point that demands years of flawless compounding before the current price is even approached by cash flow. Our blended target is $138.68, representing -51.6% upside from the reference price.

HOLD	$138.68	-51.6%	$286.72
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market is pricing Astera Labs as though the AI connectivity buildout runs in a straight line for a decade, while the company's own recent record shows a business whose growth arrives in steps, whose gross margin is stepping down as hardware mix builds, and whose next leg depends on a single product family ramping on schedule. We respect the franchise. We do not respect the entry price.

EXECUTIVE SUMMARY

Astera Labs is a connectivity chip designer whose retimers and switches move data inside AI servers and data centers. The product families named across its recent reported quarters map cleanly onto the bottlenecks of rack-scale AI systems. Aries signal conditioning products, built around PCIe 6 connectivity, contributed over 20% of revenue in Q3 FY2025 and posted record revenue in Q2 FY2026. The Scorpio switch fabric line, in P-Series volume ramp during Q3 FY2025 and in X-Series production by Q4 FY2025, addresses scale-up switching inside the rack. Taurus smart cable modules round out the portfolio on the cabling side, and the Xscape Photonics acquisition announced in Q3 FY2025 extends the roadmap toward photonic scale-up switching. The customer set is the hyperscaler class building the largest AI clusters, and the record shows new design wins across hyperscalers alongside a volume ramp at a lead customer.

The recent quarterly record is one of exceptional top-line execution. Revenue grew 104% year over year in Q3 FY2025 to $230.6M, 92% year over year in Q4 FY2025, 93% year over year in Q1 FY2026 to $308.4M, and 104% year over year in Q2 FY2026 to a record $392.4M, up 27% sequentially. Guidance has repeatedly been set and then

beaten or raised, with Q1 FY2026 revenue landing above the $297M high end of guidance and the Q3 FY2026 guide of $540M to $560M implying roughly 40% sequential growth as the Scorpio X-Series 320-lane fabric switch ramps a quarter early. Profitability at this growth rate is genuinely rare. Non-GAAP operating margin reached a record 41.7% in Q3 FY2025, printed 40% in Q4 FY2025, 36.2% in Q1 FY2026, and 39.1% in Q2 FY2026, while GAAP diluted EPS reached $0.83 in Q2 FY2026.

The same record carries the counterweight, and it is margin mix rather than demand. Non-GAAP gross margin has stepped down from 76.2% in Q3 FY2025 to 75.7% in Q4 FY2025 and 76.4% in Q1 FY2026, with guidance pointing to about 73% in Q2 FY2026 and 73.7% actually printed in Q2 FY2026 alongside guidance to about 72% in Q3 FY2026. Management attributes the compression to hardware module mix and to a warrant-related contra-revenue drag of roughly 2%. Operating expense is climbing with the opportunity, from a guided $112M to $118M in Q1 FY2026 to roughly $124M of non-GAAP operating expense in Q1 FY2026 and a guide near $130M in Q2 FY2026, and headcount was planned to exit 2025 up 60% year over year at more than 700 employees. None of this is alarming in isolation. All of it argues that the earnings path is lumpier than a $286.72 share price tolerates.

The balance sheet offers no offsetting complaint. FY2025 closed with $167.6M of cash against $4.1M of total debt, leaving a net cash position of $163.5M, and the company converted FY2025 revenue of $852.5M into $281.8M of free cash flow at a 33.1% FCF margin with a 16.1% return on equity. The dispute is purely about what those economics are worth today. At 235.0x FY2025 diluted EPS of $1.22 and roughly 58.3x FY2025 revenue on market capitalization, the market is not discounting our base case, which itself assumes a 37.8% revenue CAGR through FY2030. It is discounting something beyond our bull case and calling it the present. We rate the shares Hold on valuation concerns, because the business is strengthening while the price has simply run far ahead of any cash flow path we can underwrite.

OPERATIONAL SNAPSHOT

$286.72	$852.5M	$281.8M	33.1%	1.50	$286.72
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS TECHNICAL AND POSITIONAL

The first layer of the moat is signal integrity physics. As data rates climb through PCIe 6 and beyond, the electrical channels inside an AI server degrade over distances that system architects cannot avoid, and retimers that clean and amplify those signals become design-in components rather than commodities. Astera's record shows the Aries family holding the primary volume position in PCIe 6 solutions, with Aries contributing over 20% of Q3 FY2025 revenue and reaching record revenue in Q2 FY2026. A socket won at the platform design stage tends to persist for the life of that platform, because requalifying a signal chain mid-cycle risks the stability of the entire rack. That persistence is the switching cost, and it is earned in engineering rather than in contracts.

The second layer is the move from components into the fabric itself. The Scorpio P-Series entered volume ramp at a lead customer in Q3 FY2025 with new design wins across hyperscalers, and the Scorpio X-Series 320-lane fabric switch moved into production in Q4 FY2025, shipped in early volumes in Q1 FY2026, and then pulled its volume ramp a full quarter early in the Q3 FY2026 guidance. A supplier that owns both the retimer sockets and the scale-up switch fabric sits closer to the architectural center of the rack with each generation, and the Xscape Photonics acquisition extends that position toward photonic scale-up switching for optically expanded rack-scale clusters. The record frames the merchant scale-up switching market at $20B by 2030, and Astera is one of very few merchant suppliers positioned in it at production scale today.

Pricing power, however, is negotiated rather than absolute. The customer base is a concentrated set of hyperscalers with deep internal silicon programs and the leverage that comes from buying at platform scale. The record shows the fingerprints of that leverage in the warrant-related contra-revenue drag of roughly 2% now running through gross margin, and in a gross margin profile that compresses as lower-margin hardware modules grow faster than pure silicon. We read the moat as real but shared, in the sense that Astera's customers capture part of the value the franchise creates. That sharing is precisely why our model fades the FCF margin from its FY2025 level even as revenue compounds.

Retention evidence, finally, is written in the guidance pattern. Customers do not hand a supplier a guide of $540M to $560M, roughly 40% sequential growth in a single quarter, unless the sockets are secured and the production slots are committed. The Q3 FY2026 guide, the roughly $150M sequential revenue step-up it implies, and the quarter-early Scorpio X-Series ramp together indicate that Astera's anchor positions inside hyperscaler buildouts are deepening rather than defending. The moat question for this company is not whether the position holds. It is whether any position, however strong, can compound fast enough to justify 58.3x trailing revenue. Our valuation work says it cannot at this price.

VALUATION

Three scenarios make the valuation range explicit

Our model compounds Astera's revenue from the FY2026 base across the FY2026 to FY2030 forecast window at a 37.8% CAGR in the base case, with the bear case at 24.1% and the bull case at 50.0%. Even the bear case, it should be noted, assumes growth that most semiconductor companies never sustain for five years, because the starting point already embeds the guided Q3 FY2026 step-up and the secured Scorpio ramp. The scenarios separate on two variables, the durability of hyperscaler capital spending on AI connectivity and the slope of gross margin compression as hardware mix builds. Target FCF margins in the final forecast year run from 38.4% in the bear case to 43.1% in the base case and 45.4% in the bull case, each well above the 33.1% FCF margin delivered in FY2025, which means all three scenarios already credit substantial operating leverage.

The conclusion the table forces is uncomfortable for holders at the reference price. Our bull case, which pairs a 50.0% five-year revenue CAGR with a 45.4% terminal-year FCF margin, produces a target of $195.55, still 31.8% below the $286.72 reference price. When the most optimistic internally consistent path we can build lands a third below the market, the market is not pricing a scenario. It is pricing a certainty, namely that growth persists at the very

top of the range while margins expand rather than compress. The recent record, with gross margin guided down in four consecutive quarters, points the other way on the margin half of that certainty.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	24.1%	38.4%	$85.39	-70.2%
Base	50%	37.8%	43.1%	$136.88	-52.3%
Bull	25%	50.0%	45.4%	$195.55	-31.8%

Bear $85.39

The bear case assumes hyperscaler digestion slows the connectivity buildout, the roughly $150M sequential step-up embedded in the Q3 FY2026 guide proves to be a pull-forward rather than a run rate, and gross margin compression accelerates as hardware modules and the warrant drag compound. Revenue compounds at 24.1% and the terminal-year FCF margin reaches 38.4%.

Base $136.88

The base case assumes the Scorpio X-Series ramp delivers broadly as guided, Aries holds its PCIe 6 volume position, and gross margin settles in the low 70% range as mix stabilizes. Revenue compounds at 37.8% and the terminal-year FCF margin reaches 43.1% on sustained operating leverage.

Bull $195.55

The bull case assumes Astera converts its anchor sockets into a durable merchant scale-up switching franchise, photonic optionality from the Xscape Photonics acquisition begins contributing within the window, and margin compression bottoms quickly. Revenue compounds at 50.0% and the terminal-year FCF margin reaches 45.4%.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We discount Astera at a 10.27% WACC, built from live market inputs rather than a static hurdle, with an equity beta of 1.50 reflecting the shares' demonstrated sensitivity to the AI infrastructure complex. A beta of 1.50 is not a punishment. It is a measurement, and for a company whose revenue depends on a handful of hyperscaler capital budgets, it is arguably generous relative to the concentration embedded in the order book. Even so, the discount rate is not what separates our target from the price. At a materially lower WACC the gap would narrow, but no defensible discount rate closes a valuation gap that begins with the market paying roughly 58.3x trailing revenue.

What the 10.27% WACC does clarify is the duration the buyer accepts at $286.72. The cash flows that justify the reference price sit far in the future and

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**10.27% (2026-10-20)**
Terminal growth	**3.0%**
Equity beta	**1.50**
Diluted shares	**173.5 million**

HOLD

depend on compounding that has to survive several generations of interconnect standards, at least one hyperscaler digestion cycle, and the internal silicon programs of the company's own customers. Discounting merely makes that dependence explicit. Our framework prices the cash flows we can tie to the record. The market price requires cash flows the record does not yet contain.

FCF margin normalization is the engine

Astera delivered a 33.1% FCF margin in FY2025 on $852.5M of revenue, a remarkable figure for a company at this scale, and our scenarios assume the margin expands from there to between 38.4% and 45.4% by the final forecast year. That expansion rests on operating leverage that the record supports, since non-GAAP operating margin has printed between 36.2% and 41.7% across the last four quarters while the company absorbed an aggressive hiring plan and an operating expense guide rising toward $130M per quarter. The silicon-weighted mix is structurally high margin, and scale spreads the research and development base across a much larger revenue line.

The normalization debate is about the gross line rather than the operating line. Non-GAAP gross margin has moved from 76.2% in Q3 FY2025 toward a guided level near 72% in Q3 FY2026 as Taurus hardware modules grow and the warrant-related contra-revenue runs through the P&L. If that mix shift is a phase, margins recover as Scorpio silicon scales, and our base case is right to fade the compression. If it is structural, because each new product family carries more hardware content, then the margin engine is weaker than the scenarios assume and even the bear case is exposed. We treat this as the single most important modeling question in the name, and it is why our targets sit where they do despite a 37.8% base-case revenue CAGR.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

over $138.68 blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Scorpio fabric switching and Aries PCIe 6 retimers

HOLD

The Aries family is the cash engine of the present. Built on signal conditioning for PCIe 6, it contributed over 20% of revenue in Q3 FY2025, carried the Q1 FY2026 beat as the primary volume PCIe 6 position, and reached record revenue in Q2 FY2026 on broad AI connectivity demand. Retimer content scales with accelerator count and with the electrical reach problems each new generation creates, so Aries grows with the installed buildout even before any new socket is won. The risk inside the strength is generational, because each interconnect transition reopens the design-in competition, and the record's own bear points flag the supply constraints in advanced packaging and memory that the whole industry shares.

Scorpio is the growth engine of the forecast. The P-Series entered volume ramp at a lead customer in Q3 FY2025 with new design wins across hyperscalers, the X-Series 320-lane fabric switch moved into production in Q4 FY2025 and shipped in early volumes in Q1 FY2026, and the Q3 FY2026 guide of $540M to $560M rests on the X-Series ramping a full quarter early. That guide implies roughly $150M of sequential revenue step-up in one quarter, the largest single-quarter increment in the company's record. Our base case treats the ramp as real and durable. Our bear case treats part of it as pull-forward, because a step of that size, arriving early, is exactly the pattern that digestion quarters are made of.

Taurus smart cable modules and the photonic roadmap form the third layer. Taurus grows the hardware content of the portfolio, which supports revenue while diluting gross margin percentage, the central tension in the model. The Xscape Photonics acquisition, announced in Q3 FY2025, adds fiber-chip coupling capability aimed at photonic scale-up switches for optically expanded rack-scale clusters of hundreds of accelerators. We assign the photonic business no separate value in the scenarios. It enters as optionality inside the bull case, where it supports the 50.0% revenue CAGR, and as an integration obligation in the bear case.

Underneath the product story sit the operating drivers that decide whether growth becomes cash. Headcount was planned to exit 2025 up 60% year over year at more than 700 employees, non-GAAP operating expense ran near $124M in Q1 FY2026 against a guide near $130M for Q2 FY2026, and the record notes the return on that research and development step-up sits 18 to 24 months out. Operating margin has held between 36.2% and 41.7% across the last four quarters while that spending climbed, which is the strongest evidence in the record for genuine operating leverage. Whether it holds through a digestion quarter is the question the position eventually has to answer.

What to monitor

- **Scorpio X-Series conversion** The Q3 FY2026 guide of $540M to $560M must print, and the following quarter's guide will show whether the roughly 40% sequential step was a run rate or a pull-forward.
- **Gross margin trajectory** Non-GAAP gross margin has been guided from about 75% to about 74%, then about 73%, then about 72% across four consecutive quarters, and the level at which hardware mix stops diluting it anchors the FCF margin debate.

- **Operating expense discipline** Quarterly non-GAAP operating expense guided near $130M needs to grow slower than revenue for the operating leverage in the record, between 36.2% and 41.7% of operating margin, to persist.
- **Customer concentration signals** The warrant-related contra-revenue drag of roughly 2% and any new warrant or pricing concessions will reveal how the value split with hyperscaler customers is evolving.

+115.1%	75.7%	20.3%	33.1%	$163.5M	16.1%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$852.5M
Gross Profit	$645.3M
EBIT	$173.4M
Net Income	$219.1M
EBITDA	$180.3M
Free Cash Flow	$281.8M
Diluted EPS	$1.22
ROE	16.1%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Each interconnect generation reopens design-in competition, and Astera's customers run internal silicon programs with every incentive to in-source connectivity over time. Losing a single platform socket at a lead hyperscaler would remove a revenue block that the current price assumes is permanent.

M&A DIGESTION

The Xscape Photonics acquisition moves Astera into photonic scale-up switching, a different technical discipline from its electrical franchise. Integration that distracts the core Scorpio ramp, or photonic timelines that slip, would strand the optionality the bull case pays for.

REGULATORY AND PRICING SCRUTINY

A concentrated hyperscaler customer base negotiates hard, and the roughly 2% warrant-related contra-revenue drag already in gross margin shows concessions are a live cost of the anchor relationships. Further pricing give-backs would compress the margin path every scenario depends on.

TECHNOLOGY DISRUPTION

A shift in interconnect architecture, whether toward optical interconnect standards Astera does not lead or toward customer-designed switch silicon, could strand the retimer and fabric roadmap. The record flags industry-wide advanced packaging and memory constraints as a nearer-term version of the same exposure.

REINVESTMENT TREADMILL

Headcount planned up 60% year over year and operating expense guided near $130M per quarter mean the cost base now assumes continued hypergrowth. A digestion year would deleverage the P&L quickly, with the record itself placing the return on the research step-up 18 to 24 months out.

WACC AND DURATION SENSITIVITY

At a 10.27% WACC and a 1.50 beta, the valuation rests on distant cash flows, and the shares trade at 235.0x FY2025 diluted EPS. Small changes in the discount rate or in the terminal path move fair value violently, in both directions, which is a risk profile holders should size accordingly.

The strengths

OLIGOPOLY POSITION

Astera holds the primary volume position in PCIe 6 solutions and one of the only production merchant scale-up switch fabrics, inside a merchant market the record sizes at $20B by 2030. Few suppliers can contest the sockets it already owns.

FCF COMPOUNDING

FY2025 free cash flow of $281.8M at a 33.1% margin, on a balance sheet holding $163.5M of net cash, means growth funds itself. The company does not need capital markets permission to execute its roadmap.

GEOGRAPHIC DURABILITY

Demand is anchored in the hyperscaler buildout concentrated among the largest cloud operators, whose AI capital programs have persisted across every quarter in the record. Revenue grew between 92% and 104% year over year in each of the last four reported quarters.

PIPELINE OPTIONALITY

The Scorpio X-Series ramp, Taurus module growth, and photonic switching from the Xscape Photonics acquisition stack three successive product waves behind the current Aries base. Each wave is optional upside to the base case rather than a requirement of it.

The bottom line on risk and reward

We want to be precise about what this rating is and what it is not. Astera Labs has produced four consecutive quarters of revenue growth between 92% and 104%, record operating margins for a company at its stage, a net cash balance sheet, and a product ramp that arrived early. By the operating evidence, this is one of the best-executing young franchises in the AI infrastructure complex. None of that is in dispute in this report, and our base case, a 37.8% revenue CAGR with a 43.1% terminal-year FCF margin, is a compliment written in numbers.

The dispute is the price. At $286.72, the market value of $49.7B already exceeds what our bull case produces, and the bull case assumes a 50.0% revenue CAGR sustained for five years with margins expanding to 45.4%. An investor buying here is not underwriting execution. They are underwriting perfection, including a gross margin line that has been guided lower for four consecutive quarters turning higher on schedule, and a customer base of hyperscalers choosing never to in-source the layer Astera sells. We hold a Hold rating with valuation concerns, a blended target of $138.68, and -51.6% downside to that target, and we would revisit the name constructively at prices that leave something for the execution risk the record still contains.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Scorpio X-Series fabric switches: the production ramp that now carries the forecast

The Scorpio story in the record is a study in acceleration. In Q3 FY2025 the P-Series was in volume ramp at a lead customer with new design wins across hyperscalers. By Q4 FY2025 the X-Series had moved from concept to production anchor socket, and by Q1 FY2026 the 320-lane fabric switch was shipping in early volumes. In Q2 FY2026 management guided Q3 revenue to $540M to $560M, roughly 40% sequential growth, explicitly on the X-Series ramping a full quarter early. Product families in this industry usually slip. This one arrived ahead of schedule, and the guidance step it produced is the single largest in the company's history.

The strategic weight of Scorpio exceeds its current revenue share. Aries retimers sell into other vendors' architectures, while Scorpio makes Astera the architecture, owning the scale-up fabric that connects accelerators inside the rack. The record sizes the merchant scale-up switching market at $20B by 2030, and a supplier that holds the fabric socket holds the roadmap conversation for every subsequent generation, including the photonic transition that the Xscape Photonics acquisition is meant to serve. This is the asset our bull case is really pricing, and it is why the bull case can sustain a 50.0% revenue CAGR without internal contradiction.

The execution risk is equally concrete. The Q3 FY2026 guide implies a sequential revenue step-up of roughly $150M in a single quarter, and the record's bear points name the constraints plainly, with advanced packaging and memory supply industry-wide and gross margin guided to about 72% as hardware content rises. A ramp of this size consumes working capital, stresses supply allocation, and concentrates the quarter's outcome in one product family's yields. If the step prints and holds, the base case strengthens materially. If it prints and reverses, the pull-forward reading takes over and the stock's multiple has no support anywhere near the reference price.

What would change our mind is not enthusiasm but sequence. Two consecutive quarters at or above the new revenue level, with non-GAAP gross margin stabilizing at or above the guided level near 72%, would demonstrate that the fabric franchise compounds rather than spikes. Until that sequence exists, Scorpio is a superb product story attached to an unproven run rate, and we value it accordingly.

What the recent record shows

- Q2 FY2026 revenue of $392.4M grew 104% year over year and 27% sequentially, with record Aries revenue and non-GAAP operating margin of 39.1%.
- The Q3 FY2026 guide of $540M to $560M implies roughly 40% sequential growth as the Scorpio X-Series 320-lane fabric switch ramps a quarter early.
- Q1 FY2026 revenue of $308.4M beat the $297M guide high end, with the Scorpio X-Series already shipping and non-GAAP operating margin of 36.2%.
- Q3 FY2025 established the pattern, with the Scorpio P-Series in volume ramp at a lead customer, record non-GAAP operating margin of 41.7%, and the Xscape Photonics acquisition announced.

Our read: Scorpio is the right product at the right layer of the AI rack, and its early ramp is the strongest single data point in the Astera record. It is also already paid for several times over at $286.72, so we admire the franchise from the sidelines and wait for a price that pays us to share its execution risk.